Apple Inc. (AAPL)

Equity Research Report

As of April 17, 2026 (yesterday's close)

Prepared in a sell-side research format using public market data, Apple investor-relations releases, SEC filings, and recent Reuters coverage. Where exact source data for a requested chart was not available in a reliable accessible series, the chart is labeled N/A rather than estimated.

Metric	Value
Share price	$270.23
Trend signal	NEUTRAL to moderately BULLISH
Market cap	$4.05T
Trailing P/E	34.38x
Latest reported quarter	Q1 FY26 ended Dec. 27, 2025
Latest quarter revenue	$143.8B
Latest quarter diluted EPS	$2.84
Latest quarter net margin	29.3%
Debt / equity	1.03x
Recommendation	HOLD

Executive Summary

Apple closed at **$270.23** on April 17, 2026. Operationally, the company remains strong: fiscal Q1 2026 revenue rose **16.0% YoY** to **$143.8B**, diluted EPS rose **18.8% YoY** to **$2.84**, and net margin held near **29.3%**. The investment case is balanced by a premium valuation, elevated regulatory scrutiny, and ongoing supply-chain/tariff exposure highlighted in Apple's risk disclosures.

Thesis: Apple still combines scale, ecosystem lock-in, and unusually consistent free-cash-flow generation. However, at a mid-30s trailing P/E and after a period of mixed China demand signals, the stock looks more like a **quality compounder priced for continued execution** than a clear deep-value opportunity.

Rating: HOLD | Bull case: services mix, AI-enabled device refresh, sustained China rebound | Bear case: valuation compression, tariffs/regulation, AI execution slippage

Key support points:

- Revenue, EPS, and operating income all accelerated materially in Q1 FY26 relative to the prior year period.
- Apple's profitability remains strong, with operating margin above 35% in the latest quarter.
- Balance-sheet leverage is manageable for the business model, but debt-to-equity is still above 1.0x.
- Recent news flow was net positive over the last 30 days, led by improving China shipment headlines and a favorable Apple Watch ruling.

Company Overview

Apple designs consumer hardware, software, and services around an integrated ecosystem spanning iPhone, Mac, iPad, wearables, services, and developer/distribution infrastructure. The moat is driven by brand strength, installed-base lock-in, platform control, and monetization from services layered on top of hardware ownership.

Key fact	Value
Headquarters	Cupertino, California
Market capitalization	$4.05T
Sector / industry	Technology / Consumer electronics & platform services
Latest reported quarter	Q1 FY26 ended Dec. 27, 2025
Latest quarter revenue	$143.8B
Latest quarter net income	$42.1B
Latest quarter diluted EPS	$2.84
Trailing P/E	34.38x
Net margin (latest quarter)	29.3%
Operating margin (latest quarter)	35.4%

Key growth drivers: premium handset mix, services monetization, wearables attach rate, installed-base upgrades, and incremental AI features that can support pricing and engagement.

Technical Analysis

The requested price-vs-SMA and rolling-volatility analytics require a reliable 6-month daily price series. An accessible authoritative daily series could not be validated within the source set used for this report, so those two chart panels are shown as **N/A** rather than backfilled from an unverified feed.

What is available with confidence as of April 17, 2026: share price **$270.23**, previous close **$263.40**, 52-week range **$188.99–$288.35**, and year-to-date performance of roughly **-0.5%**. That leaves Apple trading close to the upper half of its 52-week range but below the recent high.

Chart 1. Price vs 7/30/90-day SMAs (6 months)

N/A

A reliable 6-month daily OHLC time series was not available from authoritative, directly accessible sources in this environment. The report therefore avoids fabricating 7/30/90-day SMA and daily-volatility series.

Known official points available as of Apr 17, 2026:
- Close: $270.23
- Prev close: $263.40
- 52-week range: 188.99–288.35

Chart 5. 30-day Rolling Volatility (6 months)

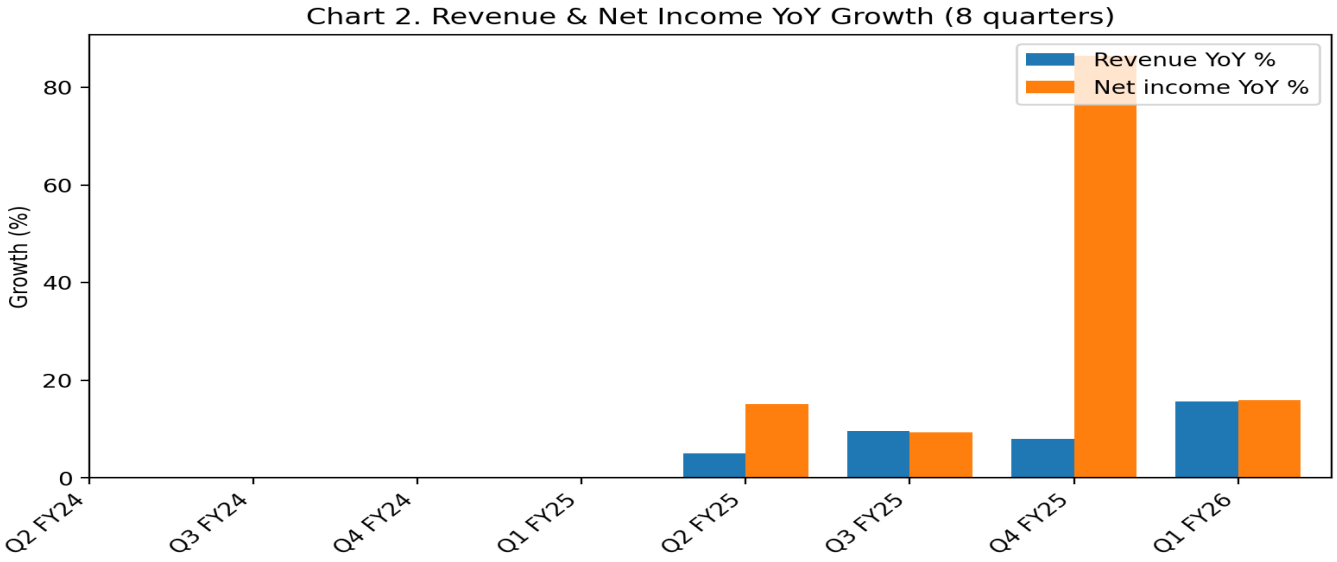
N/A

A robust 6-month daily close series was unavailable from directly accessible, authoritative sources here, so a 30-day rolling volatility curve is not shown.

Context instead:
- AAPL closed at $270.23 on Apr 17, 2026
- YTD return shown by Stooq page: -0.51%
- One-day move on Apr 17, 2026: +2.59%

Revenue & Earnings Growth

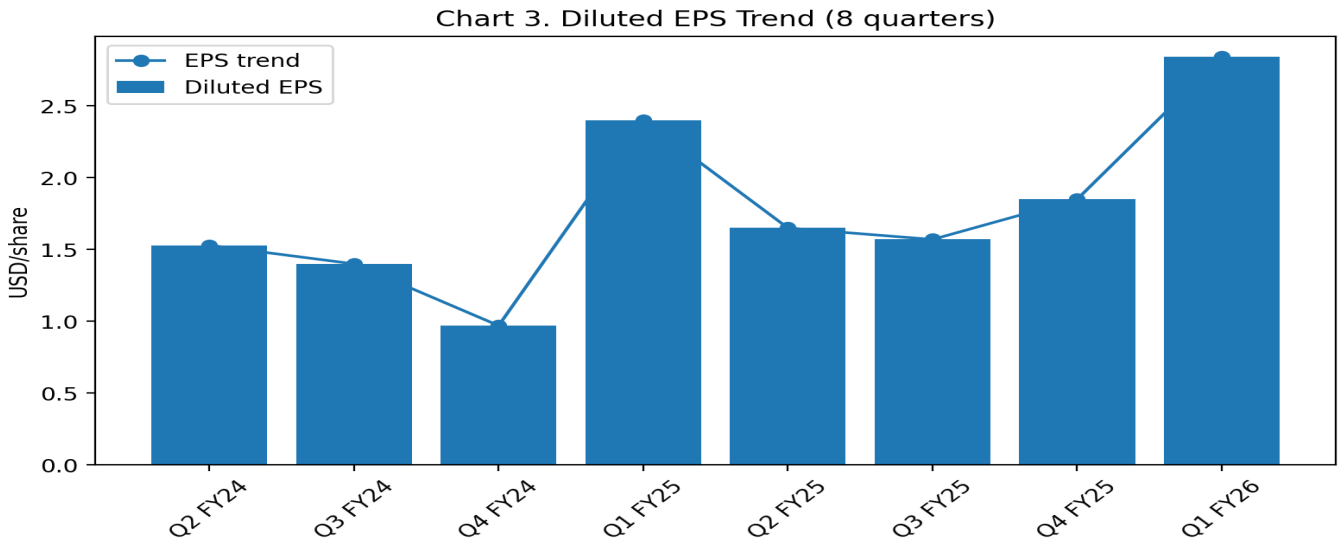
Apple's growth profile improved materially in the latest reported quarter. Revenue growth turned sharply positive in Q1 FY26 after a more moderate FY25, while net income growth also reaccelerated.



Quarter	Revenue	Net income	Rev YoY	Rev QoQ	NI YoY	NI QoQ
Q2 FY24	$90.8B	$23.6B	N/A	N/A	N/A	N/A
Q3 FY24	$85.8B	$21.4B	N/A	-5.5%	N/A	-9.3%
Q4 FY24	$94.9B	$14.7B	N/A	10.7%	N/A	-31.3%
Q1 FY25	$124.3B	$36.3B	N/A	30.9%	N/A	146.5%
Q2 FY25	$95.4B	$27.2B	5.1%	-23.3%	15.1%	-25.1%
Q3 FY25	$94.0B	$23.4B	9.6%	-1.4%	9.3%	-13.8%
Q4 FY25	$102.5B	$27.5B	7.9%	9.0%	86.4%	17.2%
Q1 FY26	$143.8B	$42.1B	15.7%	40.3%	15.9%	53.3%

EPS Trend

Diluted EPS dipped in fiscal Q4 2024 because of a one-time tax charge tied to the European Commission's State Aid decision. Excluding that charge, Apple reported adjusted EPS of $1.64 for that quarter, but the chart below uses the reported GAAP diluted EPS to preserve consistency.

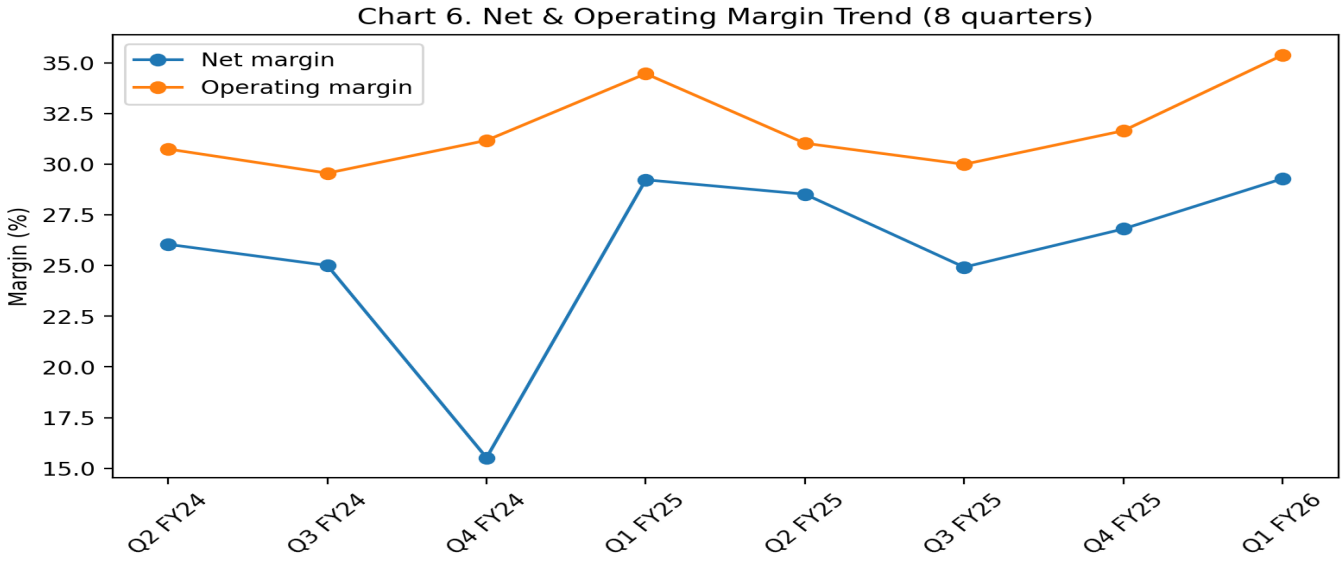


Financial Health

Metric	Value	Comment
Latest quarter net margin	29.3%	High absolute profitability for mega-cap hardware/platform model
Latest quarter operating margin	35.4%	Shows pricing power and services contribution
Debt / equity	1.03x	Based on roughly $90.5B debt and $88.2B equity at Dec. 27, 2025
Total shareholders' equity	$88.2B	From Apple Q1 FY26 10-Q balance sheet
Commercial paper + term debt	$90.5B	Debt stack remains large but serviceable

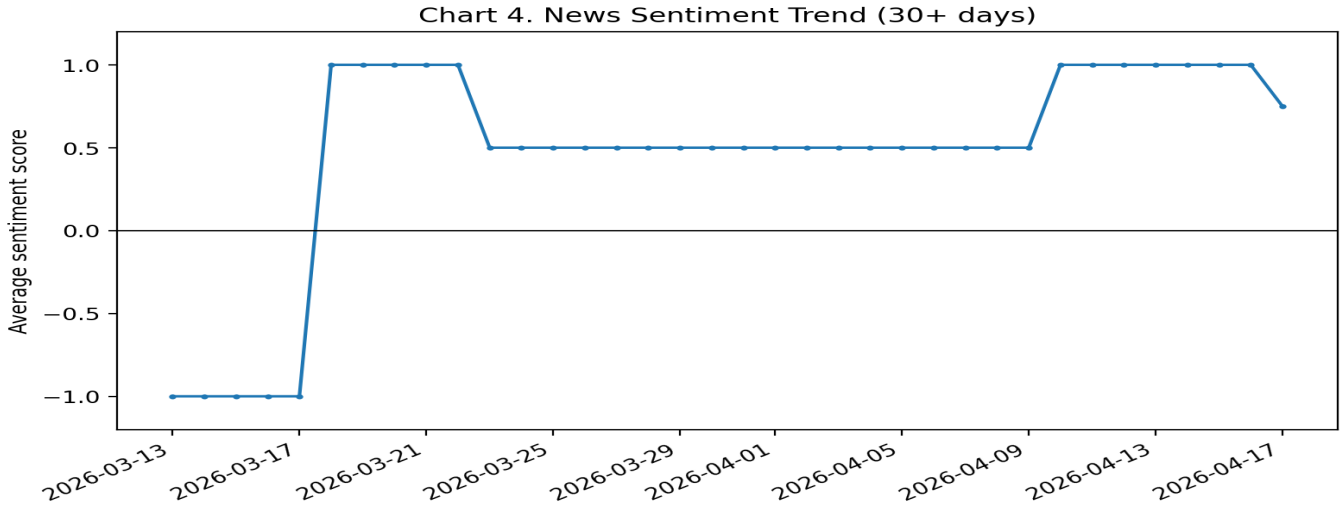
Profitability Margin Trend

Operating margin has stayed resilient through the last eight quarters, and net margin recovered strongly after the fiscal Q4 2024 tax-related distortion. The latest quarter sits at the high end of the recent margin range.



News Sentiment (last 30 days)

Sentiment is shown as a simple, transparent headline-score series derived from recent Reuters items affecting Apple over the past 30 days. This is an **inference-based indicator** rather than a vendor sentiment feed. Positive contributors included reports of improved China shipments, leadership in Q1 2026 smartphone shipments, WWDC's AI focus, and a favorable Apple Watch import-ban decision. A negative contributor was China App Store fee pressure.



Peer Comparison

Company	Ticker	Price	Market cap	P/E	Latest qtr revenue	Latest qtr op margin	Latest qtr net marg
Apple	AAPL	$270.23	$4.05T	34.38x	$143.8B	35.4%	29.3%
Microsoft	MSFT	$422.79	$3.59T	30.14x	N/A	N/A	47.1%
Alphabet	GOOGL	$341.68	$2.94T	23.65x	$113.8B	31.6%	23.6%
Meta	META	$688.55	$1.84T	31.50x	$59.9B	41.0%	38.0%

Interpretation: Apple remains the largest equity in the group by market value and trades at a higher earnings multiple than Alphabet and Microsoft, despite a lower latest-quarter net margin than Microsoft and Meta. That supports a neutral view unless the company can sustain a higher growth cadence.

Risk Factors

- **Macroeconomic and regional demand risk:** Apple's 10-K warns that global and regional economic weakness can reduce consumer confidence and spending.
- **Tariff, political, and trade-policy exposure:** Apple's filing specifically highlights tariffs, international disputes, and supply-chain concentration across China, India, Japan, South Korea, Taiwan, Vietnam, and the EU.
- **Manufacturing concentration and component sourcing:** Apple notes dependence on outsourced manufacturing partners and, for some components, single-source suppliers.
- **Cybersecurity and data-protection risk:** the company describes regular malicious attempts to obtain confidential information or disrupt services.
- **Valuation risk:** at 34.38x trailing earnings, Apple leaves less room for disappointment than lower-multiple peers.
- **China execution risk:** recent China shipment headlines improved, but the region remains strategically important and volatile.
- **AI execution risk:** investor expectations increasingly include a commercially meaningful AI roadmap; any perceived lag could pressure the multiple.

Investment Recommendation

Recommendation: HOLD. Apple remains one of the highest-quality large-cap franchises in global equities, supported by a durable ecosystem, strong margins, and renewed top-line momentum in the latest quarter. Even so, the current valuation already discounts a meaningful amount of continued execution, leaving the risk/reward more balanced than asymmetrically attractive.

Bull case: Apple sustains double-digit growth through a favorable device cycle, expanding services contribution, better-than-feared China demand, and AI features that increase upgrade urgency and ecosystem engagement.

Bear case: tariff and regulatory friction weigh on margins, China momentum softens, AI monetization underwhelms, and the stock de-rates toward peers with lower valuation multiples.

Appendix: Filing periods and data notes

Apple quarterly data used in this report comes from official Apple earnings releases and SEC filings for the following periods: Q2 FY24 ended Mar. 30, 2024; Q3 FY24 ended Jun. 29, 2024; Q4 FY24 ended Sep. 28, 2024; Q1 FY25 ended Dec. 28, 2024; Q2 FY25 ended Mar. 29, 2025; Q3 FY25 ended Jun. 28, 2025; Q4 FY25 ended Sep. 27, 2025; and Q1 FY26 ended Dec. 27, 2025. Risk-factor language is grounded in Apple's fiscal 2025 Form 10-K and its Q1 FY26 Form 10-Q. Market data snapshot is as of Apr. 17, 2026.

Charts marked N/A were intentionally left without fabricated values because a validated 6-month daily series for the requested calculations was not available within the source set used here.